

The gains from these positions failed to offset the losses (in dollar, not percentage terms) of other portfolio managers. One such trader had tried to catch the falling knife in banks like Wells Fargo that got crushed during the GFC. The firm would have been in the green in 2008 but for his money-losing long positions. He was such a terrible trader that I tended to ask, “What would MC do?” and then take the opposite position. It was easy money.^{[234](#)}

Last, and most important, was the limited upside. Short sellers can only double their money—make a 100% return—if a stock goes to zero. I lamented the modest returns of what looked like great trades to the well-regarded short seller, Seabreeze Partners’ Doug Kass. His simple suggestion: Always marry a put option (a bet a stock will fall) to your short positions. It’s painfully obvious in hindsight, but it was how Doug traded from the short side. I have not put on any high-conviction shorts since then,^{[235](#)} but next time, I would marry a 20% put position to any equity short—meaning, for each \$100 of equity I wanted to short, I would buy \$20 of put options and short \$80 of the common stock.

The lesson is that you must have the courage of your conviction. If you really believe in a trade, it should be meaningful enough to affect your profits. Otherwise, why bother?



My bad trades cost me a few million dollars in missed opportunities. Let’s take a look at someone else’s bad trade that cost them about one-third of a trillion dollars...

^{[231](#)} “Wall Street Still Doesn’t Understand Apple, Ritholtz Says,” Bloomberg Surveillance (August 24, 2021).

^{[232](#)} Since that sale, Apple’s stock split 4-for-1 on August 28, 2020, 7-for-1 on June 9, 2014, and 2-for-1 on February 28, 2005. Each share sold in 2003 would have been 56 shares today. Source: Apple Investor Relations, apple.com.

^{[233](#)}

Note this is not hindsight bias, but actual arguments made in real time. A classic problem with managing a portfolio by committee instead of a single person making the final decision. Years